Issue 42 | 22 September 2026

Export economics stay wide, but winter risk is now priced

US NGL export economics remain historically wide: the Mont Belvieu propane (non-LST) discount to front-month Brent held at 42% on a $/MMBtu basis last week, versus a five-year September average of 36%.

Our balance implies a 180 thousand b/d (kb/d) build in US propane inventories over the next four weeks, leaving stocks at 92 million bbl by mid-October, 11 mmbbl above the five-year average.

However, we flag that the forward curve already discounts a cold-start premium of roughly $0.09/gal in the December contract, so the asymmetry has narrowed.

1) The 14 October EIA weekly report, which will be the first to capture the post-turnaround restart of the Enterprise Chambers County splitter.

2) Panama Canal booking slots for LPG carriers; the current auction premium of $185k is 2.4x the 2025 seasonal norm.

3) Chinese PDH run rates, which we estimate at 61% for the week ended 18 September, down 4 percentage points w/w.

The US Gulf Coast (USGC) to Chiba arbitrage closed at $71/t on 19 September, narrowing from $104/t a week earlier as VLGC rates softened. Ras Tanura-Chiba rose to $58/t, which means US barrels retain a $13/t advantage into Japan.

Freight: the Baltic LPG index for 44,000 cbm vessels averaged $118/t over the week, down from $131/t. We assume $115/t for our 4Q26 forecasts, which is $6/t below the forward market.

Total US NGL production was 6.62 mmb/d in the week to 12 September, up 42 kb/d w/w. Associated gas growth in the Permian continued to drive the increase, with the Waha basis averaging -$0.78/MMBtu.

Fractionation capacity utilisation rose to 94%, the highest since February 2025. Two new splitters are scheduled to start by year-end, adding 210 kb/d of capacity at Mont Belvieu.

US propane demand from the petrochemical sector was 1.24 mmb/d, down 3% w/w, reflecting planned maintenance at two Gulf Coast PDH units. Residential-commercial demand remained minimal, as expected for the shoulder season.

Export volumes averaged 1.31 mmb/d, the second-highest weekly level on record. Japan and South Korea took 46% of the total, with China at 21%.

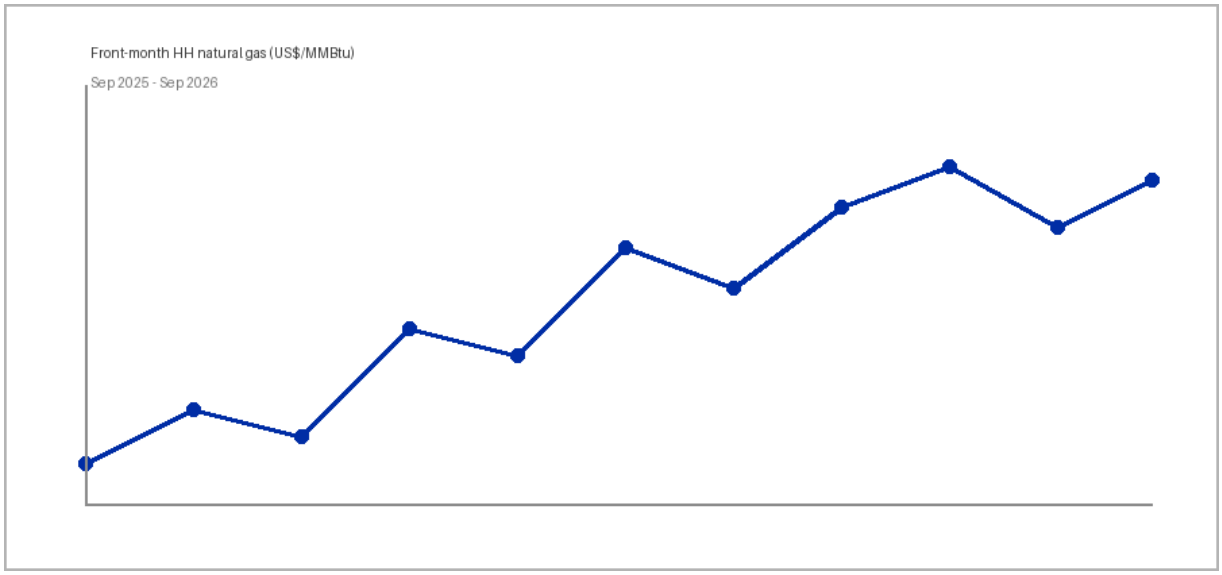
Mont Belvieu propane (non-LST) settled at 71.5 cents/gal, up 3.2 cents w/w. Conway propane was at 68.1 cents/gal. The Mont Belvieu/Conway spread widened to 3.4 cents/gal, which is above the $0.03/gal cost of moving barrels by pipeline.

Butane at Mont Belvieu was 84.3 cents/gal, leaving the butane-propane spread at 12.8 cents/gal. Ethane at Mont Belvieu was 24.6 cents/gal, and the ethane cracking advantage over naphtha is estimated at $216/t in Northeast Asia.

Upside risks: an earlier-than-normal heating-degree-day (HDD) accumulation in the US Northeast; a further widening of the Panama congestion premium; unplanned outages in the Permian midstream.

Downside risks: PDH margins in Asia remain negative, which could trigger run cuts; warm winter forecasts from the ECMWF seasonal model; higher-than-expected Canadian imports.

We forecast Mont Belvieu propane (non-LST) at 69.0 cents/gal in 4Q26, which implies a Brent-linked discount of 40%. Our 2027 average forecast is 66.5 cents/gal.



US propane inventory, week ended 12 September: 89.6 mmbbl (EIA). Five-year average: 81.2 mmbbl. Surplus to average: 8.4 mmbbl.

US NGL exports, week ended 12 September: 1.31 mmb/d, of which propane 1.04 mmb/d, butane 0.27 mmb/d.

Brent front-month: $71.4/bbl, down $1.9 w/w. Henry Hub front-month: $3.12/MMBtu, up $0.14 w/w.

Baltic LPG index (44,000 cbm), USGC-Chiba: $125/t, down $13/t w/w.

This document is prepared by a synthetic research desk for pipeline testing purposes only. Figures are illustrative and must not be relied upon for trading. No part of this document may be redistributed without written consent.